



Exam make distinction btwn

Two Theories of Capital Structure

Trade-Off Theory

- It is a practical approach that follows the M-M approach with taxes, costs of financial distress and related costs.
- The trade off theory is pragmatic in the sense that it recognizes that, initially the increase in the costs is considered to be slight, but as the degree of financial leverage increases, the rate of increase in the costs of equity and the cost of debt will also increase.
- That means WACC falls slightly initially, then remains reasonably constant for a range of capital structures, and finally increases as the degree of financial leverage becomes unacceptable.
- Thus, the trade-off theory of capital structure says that managers choose a specific target capital structure based on the trade-offs between the benefits and the costs of debt.
- The theory says that managers will increase debt to the point at which the costs and benefits of adding additional debt are exactly equal because this is the capital structure that maximises firm value.

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The Pecking Order Theory

➤ The Pecking Order Theory assumes that there is no target capital structure and financing will follow a preferred hierarchy, which is:

1. Retained earnings is the most preferred form of financing
2. Then, the issue of debt or raising of loan finance
3. Issue of convertible debt and preference shares
4. Lastly, the issue of new equity

Why?

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The Pecking Order Theory continued

➤ Flexibility & Control

- Retained earnings have ^{no} issue costs and no control implications or compliance issues
- Debt will result in loan covenants and reporting to lenders
- New equity may impact on control and will mean issue costs and greater market scrutiny

➤ Information asymmetry means that management will:

- know which securities are currently mispriced
- be reluctant to issue equity if ordinary shares are perceived to be under-priced.

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The Pecking Order Theory continued

- Managers view internally generated funds, or cash on hand, as the cheapest source of capital.
- Debt is more costly to obtain than internally generated funds but is still relatively inexpensive than issuing shares.
- Raising money by selling shares is the most expensive.

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The Empirical Evidence

- When researchers compare the capital structures in different industries, they find evidence that supports the trade-off theory.
- Some researchers argue that, on average, debt levels appear to be lower than the trade-off theory suggests they should be.

Exh I 6.9: Average Capital Structures for Selected Industries in Europe at the End of 2006

EXHIBIT 16.9

AVERAGE CAPITAL STRUCTURES FOR SELECTED INDUSTRIES IN EUROPE AT THE END OF 2006

Industry Group	Number of Firms	Debt/Firm Value
Automobiles: cars/light trucks	10	66.4%
Water	20	54.3%
Airlines	14	49.1%
Automotive parts and equipment	22	36.4%
Brewing	39	34.4%
Food retail	24	32.4%
Hotels and motels	27	31.2%
Building: heavy construction	42	29.7%
General machinery	47	26.9%
Beverages: wine and spirits	26	24.9%
Restaurants	20	24.4%
Diversified manufacturing	34	24.0%
Diversified chemicals	21	21.7%
Consulting services	27	20.0%
Telecom services	36	15.7%
Computer services	66	14.5%
Electronics: semiconductors	24	10.7%
Computer software	13	5.1%
Medical drugs	52	3.5%
Web portals/ISP	15	1.2%

This table shows average capital structures for different industries in Europe as of the end of 2005. The industries are arranged in order of declining debt-to-firm value ratios. Industries with a great many tangible assets, such as airlines, automobile and water industries, tend to have larger debt-to-firm value ratios.

Financial Leverage Across Industries in South Africa (1998 -2002)

Major industry group	Leverage	Number of firms in sample
All	21,4%	150
Recreation	43,0	7
Beverages	33,4	4
Food	33,0	8
Transportation	32,0	7
Machinery & equipment	29,5	3
Miscellaneous	25,7	27
Paper	24,9	3
Automotive	22,2	3
Diversified	22,0	8
Electronics	20,8	18
Retailers	19,5	15
Construction	18,5	5
Chemicals	18,2	5
Drugs, cosmetics & health care	13,0	4
Metal producers	12,7	22
Textiles	3,9	3

Leverage measures are median book debt to capital ratios averaged over the 5-year period 1998–2002.

Data source: Harrison, G. 2003 unpublished working paper, Queens University, School of Management and Economics, Belfast, Northern Ireland.

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- More general evidence also indicates that the more profitable a firm is, the less debt it tends to have, which is exactly opposite of what the trade-off theory suggests we should see.
- This evidence is consistent with the pecking order theory.
- The pecking order theory is also supported by the fact that, in an average year, public firms actually repurchase more shares than they sell.

Two Theories of Capital Structure

- Both the trade-off theory and the pecking order theory offer some insights into how managers choose the capital structures for their firms but neither is able to explain all of the capital structure choices that we observe.

Practical Considerations in Choosing a Capital Structure

- Managers do not think only in terms of a trade-off or a pecking order but are concerned with how their financing decisions will influence the practical issues that they must deal with when managing a business.
- Financial flexibility is an important consideration in many capital structure decisions.

Practical Considerations in Choosing a Capital Structure

- Managers must ensure that they retain sufficient financial resources in the firm to take advantage of unexpected opportunities as well as unforeseen problems.
- They try to manage their firms' capital structures in a way that limits the risk to a reasonable level.

Practical Considerations in Choosing a Capital Structure

- Managers think about leverage and the effect that interest expense has on the reported value of the firm's net profit.
- Managers consider control implications when choosing between equity and debt financing of the firm.